

CG Power and Industrial Solutions (NSE: CGPOWER)

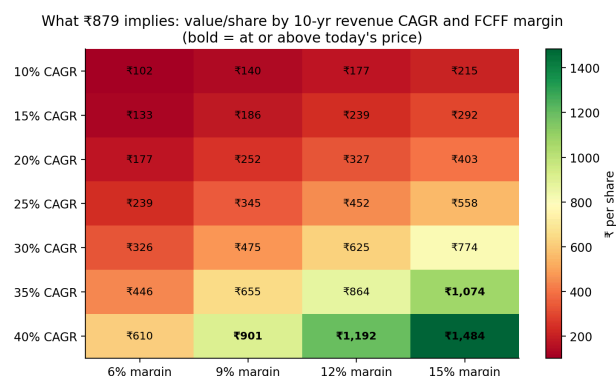
SELL

TP ₹402 · price ₹879 · -54%

A strong business priced for a decade it has never delivered: ₹879 needs **~35% revenue growth a year for ten years** at a **12% free-cash-flow margin**.

Three reasons

- The price implies an extreme path.** A reverse DCF at a 14.8% WACC puts FY36 revenue at ~₹2.5 lakh Cr, 20x FY26 and 5.7x the combined FY26 revenue of ABB India, Siemens, Hitachi Energy India and GE Vernova T&D India. It also needs a 12% FCF margin every year, matching CG's single best year since FY22. At an 11% WACC the price still needs 25% growth for a decade.
- Cash is not keeping up with profit.** FY26 receivables +46% vs revenue +25%; operating cash flow was 43% of EBITDA; free cash flow -₹72 Cr as capex reached 6% of revenue. The semiconductor business cost ₹111 Cr in FY26 and ₹43 Cr in Q1 FY27 alone. Q1 growth slowed to 14% (Industrial Systems +6%), with EBITDA margin at 12.1%.
- Expensive even against expensive peers.** CG trades at 115x FY26 P/E and 82x EV/EBITDA against peer medians of 86x and 65x. At peer multiples it is worth ₹682 (-22%; -17% on trailing twelve months to June 2026); our DCF gives ₹122 (-86%). Either method alone is a SELL.



Value per share by 10-year revenue CAGR and FCFF margin (WACC 14.8%, terminal growth 6%). Bold cells are at or above ₹879.

What the bulls are right about

- Backlog ₹18,965 Cr (+45%); Power Systems backlog 2.8x segment revenue.
- Power Systems revenue +46% in FY26, +31% in Q1 FY27, at a 24% EBITDA margin.
- ₹900 Cr US data-centre transformer order; exports only ~5% of revenue.
- OSAT plant backed by ₹4,901 Cr of government capital support.

All of this is real, and most of the Street agrees. The question is whether it is worth 35% compounding for a decade; even after cuts, my forecast assumes more than Q1 FY27 delivered.

What would change my mind

- Growth above 25% *with* FCF margin moving towards double digits.
- A profitable semiconductor ramp at G2 (due end-2026).
- Receivables growing in line with revenue again.

Risks to the call

- Sector multiples stay at 65x+ EV/EBITDA for years; the Street is mostly bullish.
- Faster export and data-centre order conversion.
- Lower rates: the 10-year yield is at a two-year high.

Valuation

DCF (3-stage)	₹122
Peer multiples (median)	₹682
Target (50/50)	₹402

Street view (1 Oct 2026)

Consensus, 20 analysts	Outperform
Average target (range)	₹934 (627–1,100)
Kotak Inst. Equities	SELL, ₹630
CAGR ₹934 needs*	36%

Key numbers

Market cap	₹1,38,486 Cr
FY26 revenue / growth	₹12,418 Cr / 25%
FY26 EBITDA margin	13.2%
P/E FY26 / FY27E	115x / 97x
Net cash (incl. QIP deposits)	₹4,223 Cr
Order backlog (30 Jun 2026)	₹18,965 Cr
WACC (Rf 7.21%, β 1.26)	14.8%

Reverse DCF: CAGR needed

WACC	at 12% FCF margin
11.0%	25%
12.5%	30%
14.8% (base)	35%

*10-year revenue CAGR at a 12% FCF margin and 14.8% WACC that justifies the consensus target.

The commodity angle: raw materials are 69% of revenue. IEEMA's price-variation formulas, the industry's own cost weights for transformers and motors, put copper at ~27% and electrical steel at ~24% of CG's material cost once weighted by business mix. A 10% copper rise cuts EBITDA margin ~94 bps (7% of FY27E EBITDA) at 50% pass-through. Commodity costs were one reason Industrial Systems' margin fell from 12.8% to 10.6% in FY26 and 9.6% in Q1 FY27.